

Fearnleys Dry Bulk Weekly

May 29, 2024

Bernhard Baardson

Capesize/Newcastlemax

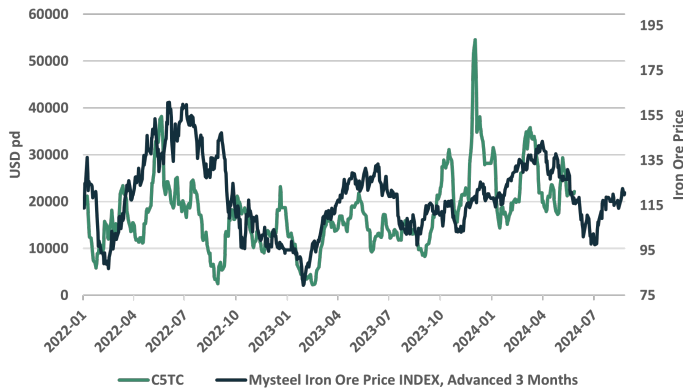
Last week we wrote the following:

The count of laden vessels heading to the Far East currently located either in the Atlantic or Indian Ocean have increased notably the last month.

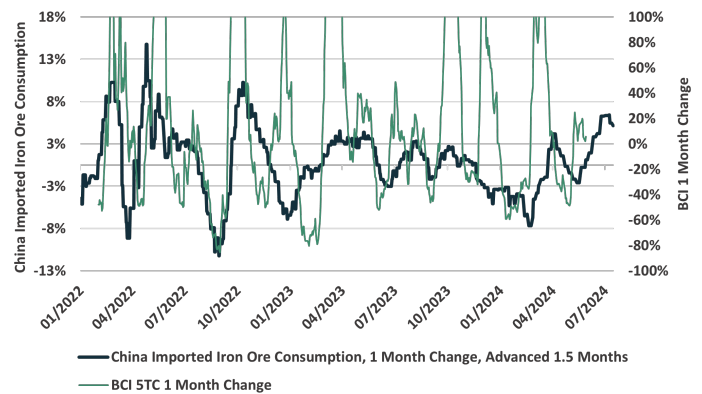
The count was similar in mid-April, mid-January and through most of Q4 last year. Market levels should therefore continue to be strongly supported in the high teens going forward.

So far it seems like the support is in the low twenties rather than the high teens. Further, it still looks like the market is gearing up for a rally in June. China's imported iron ore consumption, iron ore prices and steel prices points towards that, and there is now also a significant number of vessels heading to or in Australia. The latter point does not always result in a rally, but it usually does as it means an increasing share of the fleet will be taken out of the market. The total ballaster/laden vessel ratio for the fleet is also at a level which often indicates a market bottom (111% ratio).

Iron Ore Price, Moved 3 Months Forward vs Capesize 5TC



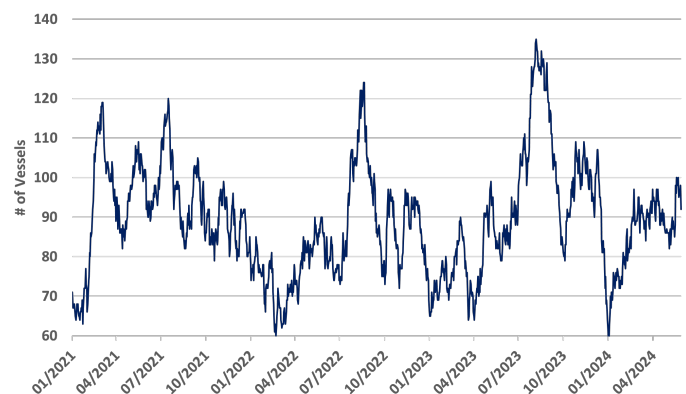
China Imported Iron Ore Consumption, 1 Month Change, Moved 1.5 Months Forward vs Capesize 5TC 1 Month Change



Capes/Newcs Heading to or in Australia



Capes/Newcs Heading to or in Brazil



Panamax/Kamsarmax

Last week, we wrote the following:

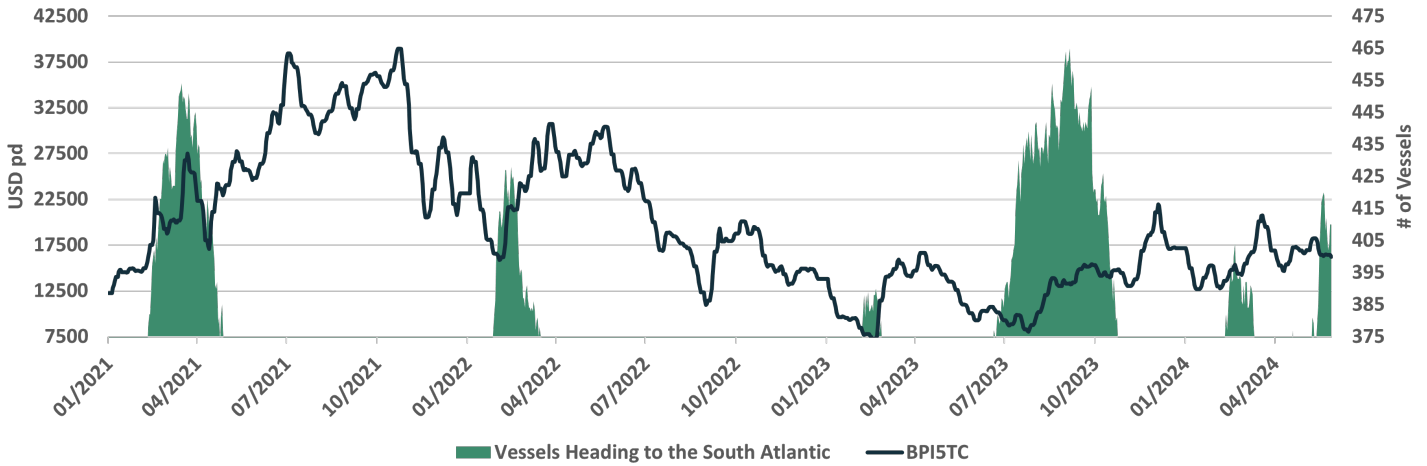
Bullish development in AIS data the last two weeks, as the count of vessels heading to or in the South Atlantic have risen to 420 vessels.

The below chart shows the BPI82 index against the count of vessels heading to or in the South Atlantic exceeding 375 vessels. The last four years, the market has rallied each of the five times following this development. The rallies have ranged from +33%

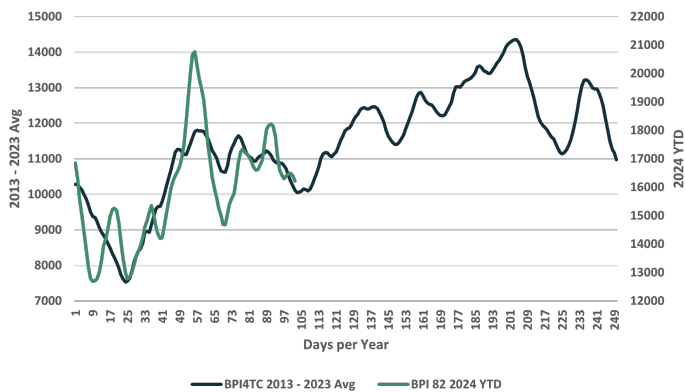
to +100%, and it took between 2 and 4 weeks for each of the rallies to materialize.

The situation remains the same this week, so one could say the countdown to a rally is now down to between 1 and 3 weeks, although one can never be 100% sure...On average, the next 2 weeks is the lowest market one will see for the remainder of the year, as displayed on the bottom left chart.

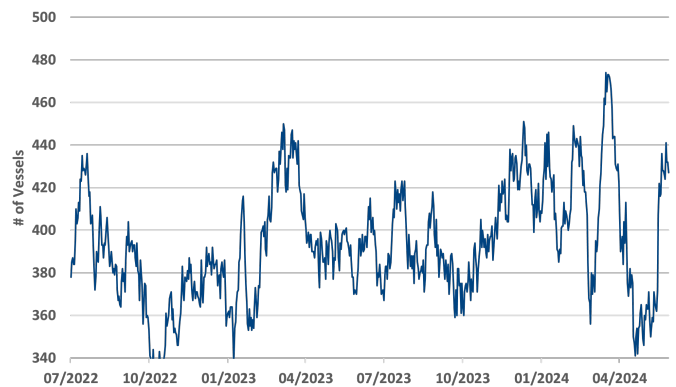
Panamax/Kamsarmax Heading to or in the South Atlantic Exceeding 375 Vessels vs BPI82 5TC



Panamax/Kamsarmax Seasonal Average Market Movement



Panamax/Kamsarmax Heading to or in AUS, IDN or RUS (Pac)



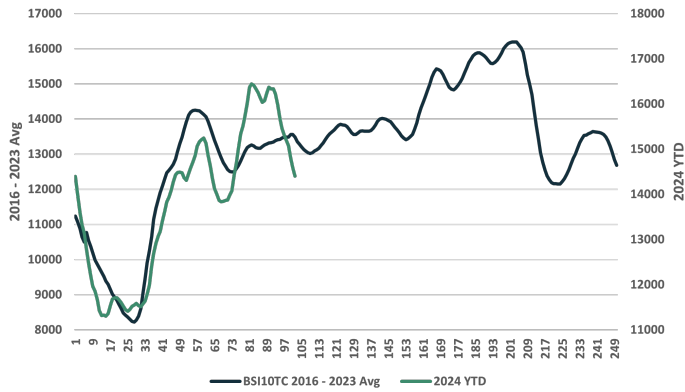
Supramax/Ultramax

Last week we wrote the following:

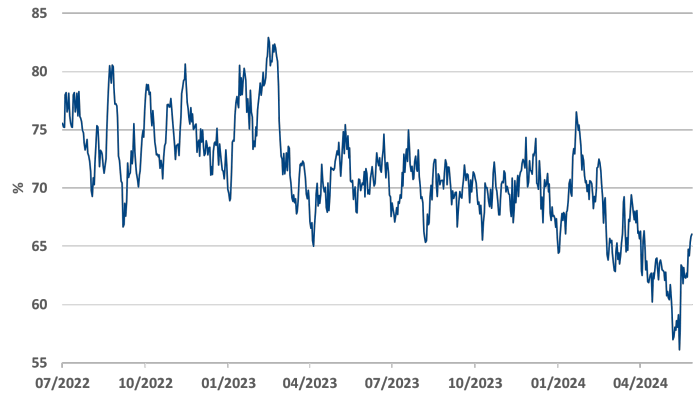
In view of the outlook for the larger segments, average market seasonality, leading macro indicators and strong fundamental data, it is hard to expect anything else than year-to-date highs in the third quarter. Seasonality suggest the market might continue to bump around within a 15.000 - 16.000 USD per day range the next two months before another rally. However, we think a rally will materialize within the next month.

The market has weakened a bit more than we suggested, but we maintain our general bullish view for June onwards. Market fundamentals are being suppressed by the still very weak manufacturing activity in the Eurozone. The next few days, May manufacturing PMIs for the Eurozone will be released, which will give more clarity to the current situation and how swiftly a return to expansion can be expected. The only May report released so far is the one for Austria, which showed a clear improvement relatively speaking, although the report showed the manufacturing sector remained in contraction overall.

Supramax Seasonal Market Movement



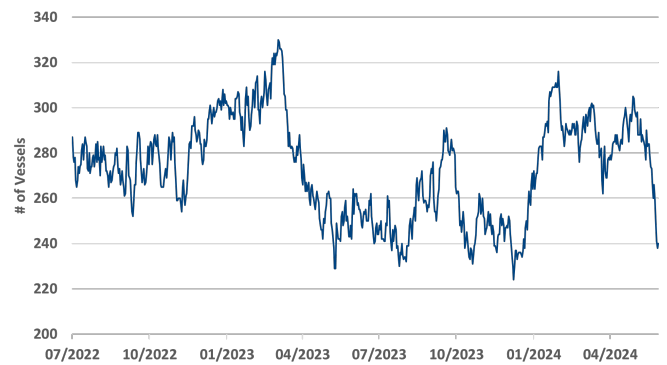
Supramax / Ultramax Ballaster /Laden Vessel Ratio



Supramax / Ultramax Heading to or in the South Atlantic



Supramax / Ultramax Heading to the North Atlantic / Europe Continent





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